

time. The markets teach you that you have to be an independent thinker. And any time you are an independent thinker, there is a reasonable chance you are going to be wrong.

How did you get involved in the stock market as a child?

When I was a kid in the 1960s, just about everyone was talking about the stock market, more so than at any other time, even including during the tech bubble. I remember getting a haircut and discussing stocks with my barber. I earned some money caddying; I got paid \$6 per bag, and I carried two bags at one time. I used that money to open an account. My father introduced me to his retail broker. He barely invested in stocks, but at the time, everyone had a retail broker.

Do you remember your first trade?

Yes, I bought Northeast Airlines, which flew between New York and Florida.

How did you pick that stock?

It was the only stock I had ever heard of that was also selling below \$5 a share. So I could buy more shares. That was my whole analysis. It didn't make any sense, but I got lucky. The company was about to go bankrupt, but then it was acquired, and I tripled my money. So I figured this was easy. I don't remember anything more about any specific stocks I bought as a child. But what I do remember is that when I was about 18 years old, we had the first bear market in my experience, and I learned to go short. Then in college I got involved in trading commodities.

What attracted you to commodities?

I could trade them with low margin requirements. I figured that with low margin requirements, I could make more money.

Any early experiences in the markets stand out?

In 1971, after graduating college and before going to business school, I had a job as a clerk on the New York Stock Exchange. On August 15, Nixon took the U.S. off the gold standard, and the monetary system broke down. I remember the stock market then went up a lot, which is certainly not what I expected.